OFFERING MEMORANDUM

Lakeshore Corporate Center | Madison, WI

Property	Lakeshore Corporate Center
Location	5679 Railroad Parkway, Madison, WI 53264
Property Type	Office
Size	167,000 SF
Year Built	2018
Offering	Unpriced - Offers Due March 18, 2022

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Market Overview

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Office product stands at 10.8%, down from 5.0% two years ago. Weighted average lease term remaining is 12 years and in-place rents average $24 per square foot, full service gross. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Office assets in Madison remains strong with recent trades at capitalization rates between 5.56% and 5.56%. The building features a renovated lobby, structured parking at a ratio of 13 per 1,000 square feet, and a tenant lounge with fitness center.

Market vacancy for comparable Office product stands at 10.2%, down from 3.6% two years ago. Lakeshore Corporate Center is located in Madison, WI, a market that has recorded 6.4% population growth over the last five years. The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center. The Madison Office market has experienced absorption of 500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Investment Overview

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 5 years and in-place rents average $24 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center. Projected levered IRR is 8.7% with an equity multiple of 1.25x over the hold period. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Floor plates are efficient and column-spacing supports open and private-office layouts.

Projected levered IRR is 12.8% with an equity multiple of 1.25x over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Submarket Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Median household income within a 8-mile radius of the property is approximately $117,000 and has grown 10.5% annually. Floor plates are efficient and column-spacing supports open and private-office layouts. Lakeshore Corporate Center is located in Madison, WI, a market that has recorded 7.2% population growth over the last five years. Market vacancy for comparable Office product stands at 8.6%, down from 6.8% two years ago.

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